



Car & General (Kenya) Limited – Interim results 31 March 2013

As mentioned in the Chairman's report, trading conditions were "extremely challenging" in the months before and during the elections. We inevitably experienced reduced levels of demand across the board in the months of February and March. The impact was particularly severe in our capital equipment businesses where purchasers were certainly withheld. Turnover for 6 months, at KSh 3.2 billion, was 15% higher than the same period in the previous year. Profits were affected by poor performance in our poultry business in Tanzania where we expect recovery in Q4 this year. We also experienced lower than expected margins in our two and three wheelers businesses due to competition and the marginal devaluation of the dollar exchange rate.

The operational profit before tax for the six months to March 2013 was KSh 67 million as compared to KSh 54 million for the same period last year, excluding the gain on disposal of Premier Power Equipment & Products Pvt Limited.

Going forward, we see a more positive second half of the year. We expect volumes to increase in the more positive economic environment and margins to increase due to the strengthening of the Kenya shilling. We have also established an assembly plant for motorcycles which will result in an additional increase in margins. Given the increase in volume and margin, by the end of this financial year, we expect profitability to be at similar levels to the previous financial year. We also expect revaluation gains, which are normally concluded at the end of the financial year, on our investment properties.

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements for the year ended 30 September 2012, which have been prepared in accordance with International Financial Reporting Standards.

The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements for the year ended 30 September 2012, except for fair value adjustments on investment properties, which are made at the end of the financial year, based on professional valuations.



CAR & GENERAL (KENYA) LIMITED

**UNAUDITED INTERIM
FINANCIAL STATEMENTS**

**FOR THE SIX MONTHS
ENDED 31 MARCH 2013**

UNAUDITED INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS ENDED 31 MARCH 2013

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**CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX MONTHS ENDED 31 MARCH 2013**

	6 Months to 31 March 2013 Sh '000	6 Months to 31 March 2012 Sh '000	12 Months to 30-Sep-2012 Sh '000
Turnover	3,203,057	2,787,764	5,711,529
Cost of sales	(2,716,106)	(2,256,936)	(4,695,638)
Gross profit	486,951	530,828	1,015,891
Other operating income	11,306	6,238	23,823
Gain in fair value of investment property	-	-	196,750
Profit on sale of shares in subsidiary company	-	108,908	119,755
Selling and distribution costs	(144,518)	(158,090)	(324,602)
Administration expenses	(181,787)	(176,415)	(425,389)
Interest expense	(114,187)	(142,923)	(261,716)
Net exchange gains/(losses)	9,003	(5,073)	10,006
Profit before taxation	66,768	163,473	354,518
Taxation charge	(29,280)	(20,770)	(87,962)
Profit for the period	37,488	142,703	266,556
Other comprehensive income:			
Revaluation surplus on property	-	-	43,935
Deferred tax on revaluation surplus	-	-	(13,181)
Exchange difference arising on translation of foreign operations	(5,996)	(46,080)	(34,767)
	(5,996)	(46,080)	(4,013)
Total comprehensive income for the period	31,492	96,623	262,543
Profit for the period attributable to:			
Owners of the parent	37,690	142,847	250,068
Non-controlling interests	(202)	(144)	16,488
	37,488	142,703	266,556
Total comprehensive income attributable to:			
Owners of the parent	31,694	96,767	246,055
Non-controlling interests	(202)	(144)	16,488
	31,492	96,623	262,543
	Sh	Sh	Sh
Earnings per share - basic and diluted	1.13	4.27	7.48

**CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AT 31 MARCH 2013**

	At 31-Mar-2013 Sh '000	At 31-Mar-2012 Sh '000	At 30-Sep-2012 Sh '000
ASSETS			
Non-current assets			
Investment property	1,602,500	1,405,750	1,602,500
Property, plant and equipment	676,858	615,718	677,998
Operating lease prepayments	13,262	14,428	13,729
Intangible assets	4,075	2,934	2,816
Deferred tax asset	18,311	9,734	11,178
	<u>2,315,006</u>	<u>2,048,564</u>	<u>2,308,221</u>
Current assets			
Inventories	2,299,496	1,896,745	2,200,610
Trade and other receivables	1,110,359	994,710	1,007,150
Due from related parties	1,918	1,778	2,148
Tax recoverable	14,719	20,532	15,379
Cash and bank balances	180,368	123,198	171,892
	<u>3,606,860</u>	<u>3,036,963</u>	<u>3,397,179</u>
Total assets	<u>5,921,866</u>	<u>5,085,527</u>	<u>5,705,400</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	167,097	167,097	167,097
Revaluation surplus	280,757	256,430	283,089
Revenue reserve	1,688,047	1,555,090	1,666,406
Translation (deficit)/reserve	(32,585)	(37,902)	(26,589)
Equity attributable to owners of the parent	<u>2,103,316</u>	<u>1,940,715</u>	<u>2,090,003</u>
Non-controlling interests	<u>52,949</u>	<u>36,519</u>	<u>53,151</u>
Total equity	<u>2,156,265</u>	<u>1,977,234</u>	<u>2,143,154</u>
Non-current liabilities			
Deferred tax liabilities	427,618	333,667	409,886
Borrowings	187,559	208,809	223,897
	<u>615,177</u>	<u>542,476</u>	<u>633,783</u>
Current liabilities			
Borrowings	1,686,817	1,425,158	1,476,963
Trade and other payables	1,463,607	1,128,973	1,441,981
Taxation payable	-	11,686	9,519
	<u>3,150,424</u>	<u>2,565,817</u>	<u>2,928,463</u>
Total equity and liabilities	<u>5,921,866</u>	<u>5,085,527</u>	<u>5,705,400</u>

V V Gidoomal
Director

E M Grayson
Director

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
At 31 MARCH 2013

	Share capital Shs'000	Revaluation surplus Shs'000	Revenue reserve Shs'000	Translation (deficit)/ reserve Shs'000	Attributable to owners of the parent Shs'000	Non- controlling interests Shs'000	Total Shs'000
6 Months to 31 March 2012							
At 1 October 2011	167,097	256,430	1,430,624	8,178	1,862,329	57,993	1,920,322
Profit for the period	-	-	142,847	-	142,847	(144)	142,703
Exchange difference arising on translation of foreign operations	-	-	-	(46,080)	(46,080)	-	(46,080)
Total comprehensive income	-	-	142,847	(46,080)	96,767	(144)	96,623
Non-controlling interests share of subsidiary disposed of during the year	-	-	-	-	-	(21,330)	(21,330)
Dividend paid – 2011	-	-	(18,381)	-	(18,381)	-	(18,381)
At 31 March 2012	167,097	256,430	1,555,090	(37,902)	1,940,715	36,519	1,977,234
6 Months to 30 September 2012							
At 1 April 2012	167,097	256,430	1,555,090	(37,902)	1,940,715	36,519	1,977,234
Profit for the period	-	-	107,221	-	107,221	16,632	123,853
Revaluation surplus on property	-	43,935	-	-	43,935	-	43,935
Deferred tax on revaluation surplus	-	(13,181)	-	-	(13,181)	-	(13,181)
Exchange difference arising on translation of foreign operations	-	-	-	11,313	11,313	-	11,313
Total comprehensive income	-	30,754	107,221	11,313	149,288	16,632	165,920
Transfer of excess depreciation	-	(5,850)	5,850	-	-	-	-
Deferred tax on excess depreciation transfer	-	1,755	(1,755)	-	-	-	-
At 30 September 2012	167,097	283,089	1,666,406	(26,589)	2,090,003	53,151	2,143,154
6 Months to 31 March 2013							
At 1 October 2012	167,097	283,089	1,666,406	(26,589)	2,090,003	53,151	2,143,154
Profit for the period	-	-	37,690	-	37,690	(202)	37,488
Exchange difference arising on translation of foreign operations	-	-	-	(5,996)	(5,996)	-	(5,996)
Total comprehensive income	-	-	37,690	(5,996)	31,694	(202)	31,492
Transfer of excess depreciation	-	(3,331)	3,331	-	-	-	-
Deferred tax on excess depreciation transfer	-	999	(999)	-	-	-	-
Dividend paid – 2012	-	-	(18,381)	-	(18,381)	-	(18,381)
At 31 March 2013	167,097	280,757	1,688,047	(32,585)	2,103,316	52,949	2,156,265

**CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE SIX MONTHS ENDED 31 MARCH 2013**

	6 Months to 31 March 2013 Sh '000	6 Months to 31 March 2012 Sh '000	12 Months to 30 Sep-2012 Sh '000
Cash flows from operating activities			
Cash generated from operations	19,212	217,760	286,730
Tax paid	(27,696)	(3,532)	(6,214)
Net cash generated from/(used in) operating activities	(8,484)	214,228	280,516
Cash flows from investing activities			
Purchase of property, plant and equipment	(27,615)	(68,913)	(109,284)
Purchase of intangible assets	(1,640)	(18)	(286)
Proceeds on disposal of property, plant and equipment	927	6,845	9,353
Proceeds from disposal of subsidiary company	-	158,917	166,577
Net cash generated from/(used in) investing activities	(28,328)	96,831	66,360
Cash flows from financing activities			
Loans received	2,175,699	1,846,057	3,269,046
Loans repaid	(2,054,137)	(2,137,035)	(3,379,525)
Dividend paid	(18,381)	(18,381)	(18,381)
Interest paid	(114,187)	(142,923)	(261,716)
Repayment of hire-purchase finance	(268)	(1,945)	(2,459)
Net cash used in financing activities	(11,274)	(454,227)	(393,035)
Decrease in cash and cash equivalents	(48,086)	(143,168)	(46,159)
Cash out flow on disposal of subsidiary	-	-	(550)
Cash and cash equivalents at the beginning of the period	105,690	151,188	151,188
Effects of exchange rate changes on the balance of cash held in foreign operations	1,602	(7,643)	1,211
Cash and cash equivalents at the end of the period	59,206	377	105,690

**NOTES TO THE INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 31 MARCH 2013**
Basis of preparation

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 September 2012, which have been prepared in accordance with International Financial Reporting Standards.

The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in the annual financial statements as at and for the year ended 30 September 2012 except for the revaluation of investment property that is carried out at year end on 30 September.

NOTES TO THE CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS

	6 Months to 31 March 2013 Sh '000	6 Months to 31 March 2012 Sh '000	At 30-Sep-2012 Sh '000
Reconciliation of profit before tax to cash generated from operations			
Profit before tax	66,768	163,473	354,518
Adjustments for:			
Depreciation on property, plant and equipment	22,909	23,175	49,143
Leasehold land amortisation	204	77	189
Fair value gains on investment properties	-	-	(196,750)
Gain on disposal of subsidiary	-	(108,908)	(119,755)
Gain on disposal of property and equipment	(248)	(1,471)	(1,699)
Intangible assets amortisation	360	367	777
Interest expense	114,187	142,923	261,716
Exchange translation on opening reserves	(1,991)	(4,162)	(16,327)
Non-controlling interests eliminated on disposal of subsidiary	-	-	(21,330)
Exchange adjustment on borrowings	(2,738)	(17,081)	(93,564)
Adjusted profit before working capital changes	199,451	198,393	216,918
(Increase)/decrease in inventories	(98,886)	333,279	90,159
Increase in trade and other receivables	(102,979)	(38,173)	(38,263)
Increase in trade and other payables	21,626	(275,739)	17,916
Cash generated from operations	19,212	217,760	286,730
Analysis of changes in borrowings:			
At the beginning of the period	1,634,658	1,841,160	1,841,160
Loans received	2,175,699	1,846,057	3,269,046
Repayments	(2,054,137)	(2,137,035)	(3,379,525)
Loan eliminated on disposal of a subsidiary	-	(20,010)	-
Hire purchase facility repaid	(268)	(1,945)	(2,459)
Exchange rate adjustments	(2,738)	(17,081)	(93,564)
At the end of the period	1,753,214	1,511,146	1,634,658

**NOTES TO THE CONDENSED CONSOLIDATED
STATEMENT OF CASH FLOWS (CONTINUED)**
Analysis of hire-purchase by cash flow:

Financing at beginning of the year	357	2,816	2,816
Loans repaid in the year	(268)	(1,945)	(2,459)
	<u> </u>	<u> </u>	<u> </u>
At the end of the period.	89	871	357
	<u> </u>	<u> </u>	<u> </u>

Cash and cash equivalents:

For the purposes of the statement of cash flows, cash and cash equivalents at period end comprise the following:

	At 31 March 2013 Sh '000	At 31 March 2012 Sh '000	At 30-Sep-2012 Sh '000
Cash and bank balances	180,368	123,198	171,892
Bank overdrafts	(121,162)	(122,821)	(66,202)
	<u> </u>	<u> </u>	<u> </u>
	59,206	377	105,690
	<u> </u>	<u> </u>	<u> </u>

NOTES TO THE INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 31 MARCH 2013 (CONTINUED)

SEGMENTAL INFORMATION

The segment information provided to the group board of directors for reportable segments is as follows:

	Trade and workshop sh '000	Rental sh '000	Poultry sh '000	Profit on sale of shares in subsidiary company sh '000	Group sh '000
31 March 2013					
Revenue for the period	<u>3,097,121</u>	<u>30,844</u>	<u>75,092</u>	<u>-</u>	<u>3,203,057</u>
Gain in fair value of investment property	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Segment profit/(loss) before tax	<u>75,806</u>	<u>9,658</u>	<u>(18,696)</u>	<u>-</u>	<u>66,768</u>
31 March 2012					
Revenue for the period	<u>2,661,591</u>	<u>29,972</u>	<u>96,201</u>	<u>-</u>	<u>2,787,764</u>
Gain in fair value of investment property	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Segment profit/(loss) before tax	<u>55,776</u>	<u>299</u>	<u>(1,510)</u>	<u>108,908</u>	<u>163,473</u>
30 September 2012					
Revenue for the period	<u>5,483,899</u>	<u>60,307</u>	<u>167,323</u>	<u>-</u>	<u>5,711,529</u>
Gain in fair value of investment property	<u>-</u>	<u>196,750</u>	<u>-</u>	<u>-</u>	<u>196,750</u>
Segment profit/(loss) before tax	<u>47,694</u>	<u>207,083</u>	<u>(20,014)</u>	<u>119,755</u>	<u>354,518</u>

There were no revenue derived from transactions with a single external customer that amounts to 10% or more of the groups' revenue.

Geographical information

The group's revenues are derived from sales in the following markets.

	6 Months to 31 March 2013 Sh '000	6 Months to 31 March 2012 Sh '000	12 Months to 30 Sep-2012 Sh '000
Kenya	2,242,040	1,930,980	3,900,864
Uganda	299,741	322,220	656,227
Tanzania	637,907	512,897	1,113,108
Rwanda	23,369	21,667	41,330
Total	<u>3,203,057</u>	<u>2,787,764</u>	<u>5,711,529</u>